



 **Time:** 5 minutes

 **Outcome:** Explain Producer Surplus & Willingness to Accept.

Difficulty:  Intermediate

Producer Surplus & Willingness to Accept



THE CORE IDEA

Producer surplus is the difference between the price a seller receives and the seller's willingness to accept. Surplus analysis compares value created with the opportunity cost of the resources used. Producer surplus is the price-cost gap across units supplied. Producer surplus measures the price received above the seller's willingness to accept for that unit.



HOW TO RECOGNIZE IT

- Look for a seller's willingness to accept or marginal cost and the price received.
- Individual producer surplus equals price received minus willingness to accept.
- On a graph, producer surplus is the area above supply and below the market price up to the quantity traded.
- A seller whose cost exceeds the market price does not make that trade.

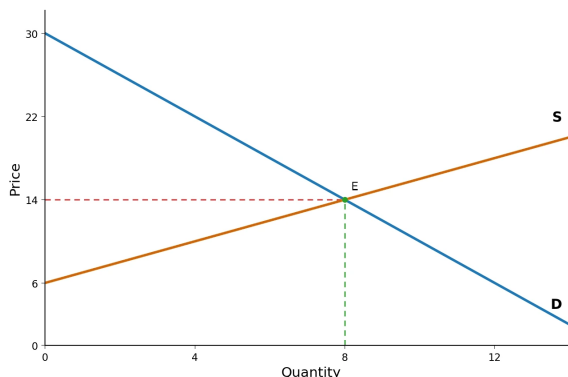


WATCH OUT

Do not confuse wta price gap. Producer surplus measures the price received above the seller's willingness to accept for that unit.



WORKED EXAMPLE: CALCULATING PRODUCER SURPLUS



At equilibrium, price is \$14 and quantity is 8. The supply intercept is \$6, so producer surplus is the triangle above supply and below price: $\frac{1}{2} \times 8 \times (\$14 - \$6) = \32 .



CHECK YOURSELF

Why is the full area above supply not producer surplus?



READY?

Return to the game and master this concept.